SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 8

Marketing Mix — Services: Service Characteristics, the 7Ps & Customer Experience

Last week covered physical products; this week is services. Services differ from goods through five traits (intangible, variable, inseparable, perishable, no ownership), so the marketing mix grows from 4Ps to 7Ps (adding Process, Physical environment, People). We also cover search–experience–credence qualities, the three-stage model of service consumption, the service experience as theatre, the Gaps Model of service quality, and the service profit chain.

Material

1 What is a service?

A **service** is any act or performance one party offers another that is essentially **intangible** and results in **no ownership**; it may or may not be tied to a physical product. Most offers sit on a continuum from pure goods (salt) through goods with services (a car with warranty), hybrids (a restaurant), services with goods (an airline) to pure services (legal advice, tutoring). Like products, services have levels: core benefit, actual service, augmented service.

2 The five service characteristics and how to handle them

Trait	Meaning	Response
Intangibility	Can't be seen or touched before buying	Tangible evidence: setting, uniforms, certificates, reviews
Heterogeneity	Quality varies by provider and moment	SOPs, training, standards, feedback
Inseparability	Produced and consumed together	Train front-line staff, manage other customers, self-service

Perishability	Can't be stored	Revenue management, reservations, flexible staff
Non-ownership	Customers use, don't own	Memberships, relationships, memorable experiences

3 The services marketing mix: from 4Ps to 7Ps

The 4Ps aren't enough for services, so add **Process, Physical environment, People**. Product = core + supplementary elements; Place & time; Price includes non-monetary costs and revenue management; Promotion = communication and education; Process = managing demand and capacity; Physical environment = the servicescape (tangible evidence); People = service employees. The extra Ps directly answer the service traits.

4 Who provides services?

Service industries span **governments** (public hospitals, courts, tax offices), **private not-for-profits** (foundations, museums, charities) and **businesses** (airlines, banks, hotels, consultants, ride-hailing). Services-marketing principles apply to all three.

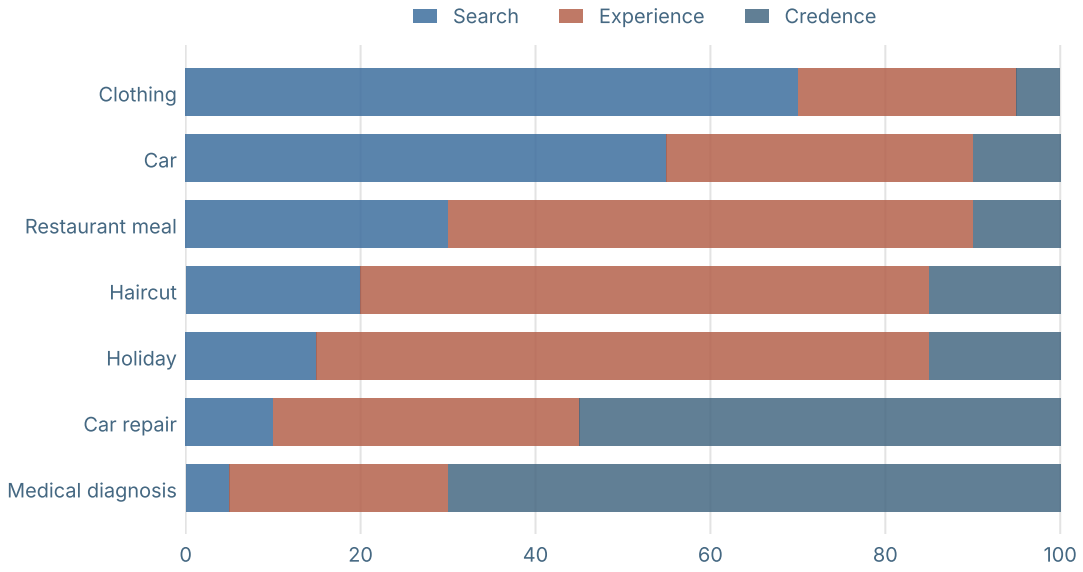
5 Search, experience, credence: why services are hard to judge

Search qualities can be judged before buying, **experience qualities** during/after use, **credence qualities** are hard to judge even afterwards. Goods lean to search; services lean to experience and credence (a tendency, not a rule). One purchase can carry all three — coffee beans (label → taste → is it really single-origin?), a dental filling (price/cleanliness → gentleness/pain → was it necessary and done properly?). Because buying services is risky, experience dominates evaluation, and for credence attributes firms really sell **trust**.

6 The evaluation continuum: from easy to hard to judge

Deep dive

Share of quality types by product (illustrative, %)



Illustrative figures showing Zeithaml's pattern.

Further right, experience and credence qualities dominate, so reputation and referrals matter more.

Tip

For credence-heavy services, make the invisible visible: show replaced parts, before–after photos, explain each step.

7 The three-stage model of service consumption

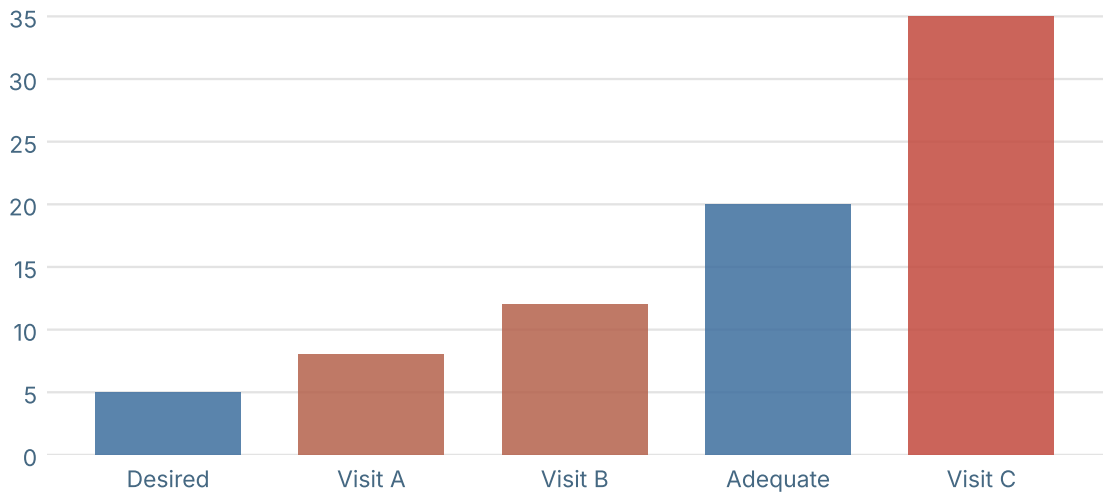
1. Pre-purchase: need awareness → information search (ads, sites, reviews, friends, staff) → evaluate alternatives → decide and often reserve. Concepts: evoked and consideration sets, multi-attribute model, search/experience/credence, perceived risk, expectations. **2. Service encounter:** moments of truth, high vs low contact, servuction system, theatre metaphor, roles and scripts, perceived control. **3. Post-encounter:** confirmation/disconfirmation, dissatisfaction–satisfaction–delight, service

quality, word of mouth, repurchase, loyalty. Expectations: desired, adequate and predicted service; the **zone of tolerance** lies between adequate and desired.

8 The zone of tolerance in numbers

Deep dive

Clinic waiting time (minutes) vs zone of tolerance



A and B are inside the zone (5–20 min); C is beyond adequate → dissatisfied.

Clinic waiting time: desired 5 minutes, adequate up to 20. Twelve minutes is inside the zone; 35 is below adequate → dissatisfaction. The zone narrows when customers are in pain or paid a premium.

9 The service experience as theatre

Design issues: services as **processes** (many steps), as **drama** (stage, actors, audience; beginning–middle–end), **roles and scripts** (lines, costumes, props), **compatibility of other customers** (empty restaurant, crowded plane, group viewing), **co-production** (student–teacher, doctor–patient), and **emotion vs mood** (emotion is intense and stable; mood is transient). After the experience: word of mouth matters most, negatives are remembered more, customers may blame themselves, and loyalty makes switching providers harder than switching goods brands.

10 The Gaps Model of service quality

The **Customer Gap** (expected vs perceived service) is caused by four provider gaps: **1 Listening** (customer expectations vs what the company thinks they are — fix with research), **2 Design** (company perceptions vs service designs and standards — customer-driven standards, blueprints), **3 Delivery** (standards vs actual delivery — training, staffing, technology), **4 Communications** (delivery vs external promises — don't over-promise). Closing gaps 1–4 closes the Customer Gap.

11 The service profit chain and three types of services marketing

The **service profit chain**: internal service quality → satisfied, productive employees → greater service value → satisfied, loyal customers → growth and profit. Three types of services marketing: **internal** (company → employees: train and motivate), **external** (company → customers: make promises with the classic 4Ps), **interactive** (employees ↔ customers: keep the promise during the encounter).

Key takeaways

1. A service is an intangible act or performance that results in no ownership.
2. Five service traits: intangibility, heterogeneity, inseparability, perishability, non-ownership.
3. The services mix: 7Ps = 4Ps + Process, Physical environment (servicescape), People.
4. Goods lean to search qualities; services lean to experience and credence qualities.
5. Three stages of service consumption: pre-purchase → service encounter → post-encounter.
6. The zone of tolerance lies between adequate and desired service.
7. Gaps Model: the Customer Gap comes from the Listening, Design, Delivery and Communications Gaps.
8. Service profit chain: satisfied staff → service value → loyal customers → profit; internal, external and interactive marketing.

Case studies

Case & worked answers

Illustration: closing the gaps at a dental clinic

Illustrative teaching example, not a real case. A dental clinic gets 2-star reviews about long waits despite bookings and rushed dentists, while its ads promise "no waiting". Gaps: listening (managers think price matters most; patients care about waiting and reassurance), design (15-minute slots for 30-minute procedures), delivery (rushed dentists), communications (over-promising). Fixes across the 7Ps: 30-minute slots and reminders (process), explaining procedures first (people), showing sterilisation certificates (physical evidence for credence qualities), and a promise it can keep (promotion).

Practice questions

Try answering first. The answer key is below each question.

1. An empty airline seat at take-off can never be sold. This illustrates...

A. Intangibility
B. Heterogeneity
C. Perishability
D. Non-ownership

Answer: C. Services can't be stored; unused capacity is lost — hence revenue management.

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2. The three extra Ps in the services mix are...

A. Process, Physical environment, People
B. Packaging, Positioning, Profit
C. Partnership, Policy, Power
D. Planning, Pricing, Publicity

Answer: A. 7Ps = 4Ps + Process, Physical environment, People.

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3. Whether a mechanic really replaced a faulty part is a...

A. Search quality
B. Experience quality
C. Credence quality
D. Core benefit

Answer: C. Credence qualities are hard to judge even after use; customers must trust.

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4. Ads promise 'no queue' but the queue is long. In the Gaps Model this is the...

A. Listening Gap
B. Design Gap
C. Delivery Gap
D. Communications Gap

Answer: D. Communications Gap = delivery vs external promises.

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5. Training and motivating employees to serve customers well is...

A. External marketing
B. Internal marketing
C. Interactive marketing
D. Direct marketing

Answer: B. Internal marketing = company → employees; the start of the service profit chain.

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6. Qualities customers can judge BEFORE buying (price, colour, cleanliness) are...

A. Search qualities
B. Experience qualities
C. Credence qualities
D. Core benefit

Answer: A. Search = before; experience = during/after; credence = hard even after use.

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7. A haircut can only be judged after it's done. This is a...

A. Search quality
B. Experience quality
C. Credence quality
D. Tangible quality

Answer: B. Experience qualities are judged during or after consumption.

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8. Dental service quality varies by dentist, day and clinic conditions. This trait is...

A. Intangibility
B. Heterogeneity
C. Perishability
D. Non-ownership

Answer: B. Variability is handled with SOPs, training, standards and surveys.

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9. A clinic shows certificates and a tidy waiting room to reassure patients before service. This addresses...

A. Intangibility — giving tangible evidence
B. Perishability
C. Inseparability
D. Non-ownership

Answer: A. Services are intangible, so marketers provide physical evidence.

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10. The range between adequate and desired service is the...

A. Customer gap
B. Zone of tolerance
C. Moment of truth
D. Servicescape

Answer: B. Inside the zone, variation is accepted; below adequate, customers are disappointed.

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11. Every contact point where a customer judges the service is a...

A. Moment of truth
B. Evoked set
C. Service blueprint
D. Co-production

Answer: A. High-contact services have more moments of truth than low-contact ones.

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12. The correct order of the three stages of service consumption is...

A. Encounter → pre-purchase → post-encounter
B. Pre-purchase → service encounter → post-encounter
C. Post → pre → encounter
D. Pre → post → encounter

Answer: B. Pre-purchase → encounter → post-encounter.

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13. Hotel managers think business guests want luxury rooms, but they need fast Wi-Fi. This is the...

A. Listening Gap
B. Design Gap
C. Delivery Gap
D. Communications Gap

Answer: A. Customer expectations ≠ the firm's perception of them.

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14. The SOP says 10 minutes but service takes 30 due to understaffing. This is the...

A. Listening Gap
B. Design Gap
C. Delivery Gap
D. Communications Gap

Answer: C. Standards vs actual delivery.

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15. In the service profit chain, the FIRST link is...

A. Profit and growth
B. Loyal customers
C. Internal service quality for employees
D. External advertising

Answer: C. Internal quality → satisfied staff → service value → loyal customers → profit.

Sources

- P3MD Week 8 MK3 — STP Strategy: Marketing Mix–Services (MM5001)
- Zeithaml (1981); Nelson (1970); Darby & Karni (1973) — search, experience, credence
- Kotler & Armstrong — Principles of Marketing (services chapter)